



Oil Price Shocks and Financial Stability in Import-Dependent Economies: A Case Study on South Korea

05 March 2026

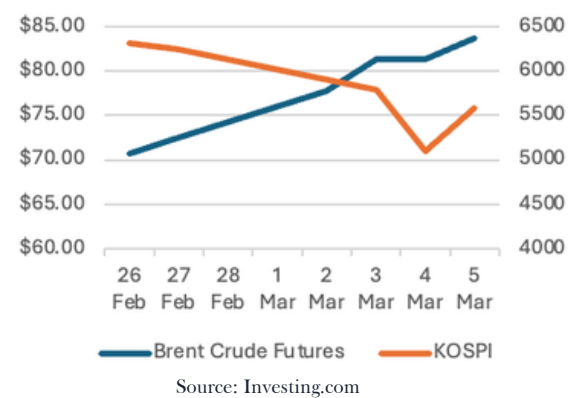
By: Lucas Ward

South Korea's benchmark stock index, the KOSPI, fell by 7.2% on Tuesday and 12.1% on Wednesday, [representing its worst two-day performance since the Global Financial Crisis](#). The fall came amid fears that rising energy prices triggered by escalating conflict in the Persian Gulf would disproportionately affect energy-import-dependent economies such as South Korea. The market partially recovered on Thursday, rising by 9.6% after President Lee Jae Myung activated a stabilization fund.

Political and Market Reaction

- In response to the sharp two-day fall in the KOSPI, President Lee Jae Myung activated a [100 trillion Won \(US\\$68 billion\) stabilisation fund](#), created during the Coronavirus pandemic to mitigate short-term market shocks by purchasing stocks and bonds.
- The president stated that 'Substantial difficulties are expected in energy supply and the economy and industrial sectors as the world faces big uncertainty in financial markets ... we need to actively respond to increased volatility in financial markets including stocks and exchange rates.'
- As of the time of writing, the South Korean Won has fallen by around 1.3% against the dollar since 2 March, mirroring declines in currencies of other energy-import-dependent economies during the same period. The Hungarian Forint, for example, fell by around 1.7% against the dollar between 2 and 4 March.

Stabilisation Fund Offsets Oil-Price Driven KOSPI Sell-off



Commercial Implications

- The episode illustrates the risks posed by military escalation in the Persian Gulf to Korean semiconductor manufacturers such as Samsung and SK Hynix, who make up 40% of the KOSPI's total value. In the event of long-term disruption to global oil and gas supply, these companies would likely face higher input costs as energy prices rise and softer demand as AI-sector firms encounter similar cost pressures. This is exacerbated by South Korea's dependence on imports from the Middle East: it is the world's fourth-largest importer of crude oil and [buys 70% of this from the region](#).
- The risk to semiconductor manufacturers has market-wide implications. Because these companies constitute a plurality of the KOSPI's value, large movements in their valuation can damage investor confidence and lead to market-wide losses. [The 12.1% drop in the KOSPI on Wednesday was matched by an 11.7% drop in Samsung stock](#).
- Without further escalation, the scale of the correction observed in Korea may not be replicated in other emerging markets and East Asian stock indices. The collapse in the KOSPI's valuation came in the wider context of impressive growth. Prior to the slump, its value increased by almost 80% in 2025 and by a further 50% in 2026. Losses to Taiwan's Taiex and Japan's Nikkei 225, both of which did not see such dramatic growth in 2025 and early 2026, [remained in the single digits](#).